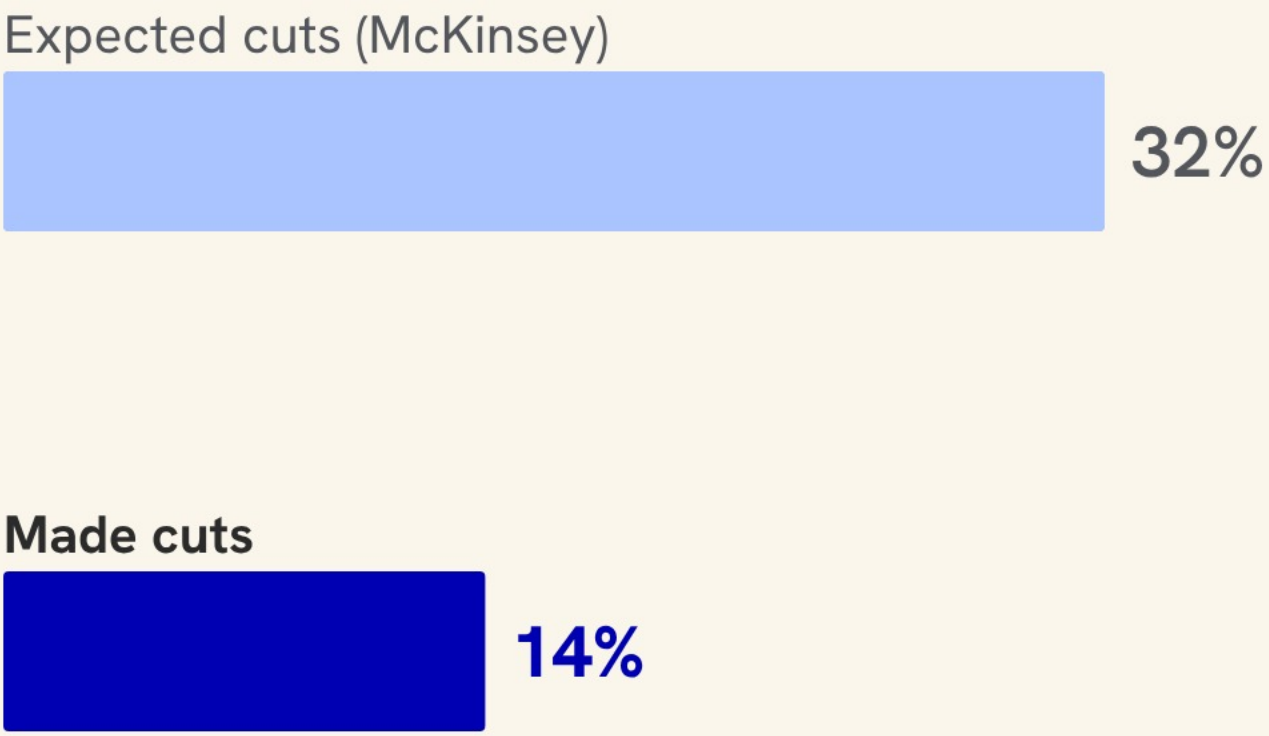
1

IS AI CHANGING THE FUNDAMENTALS?

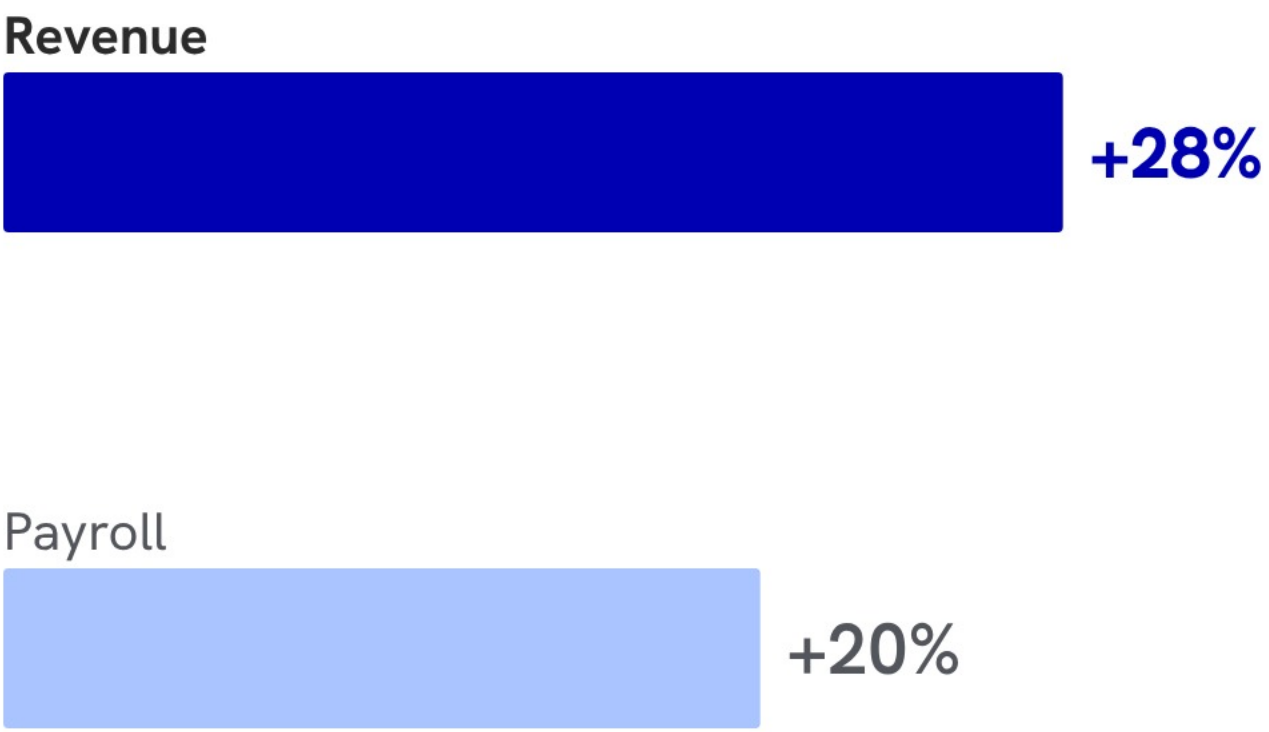


32% expected AI job cuts. 14% made them.



WE GOT YOUR BOOKS

Payroll grew 20%. Revenue grew faster.



WE GOT YOUR BOOKS

People cost per revenue dollar fell to 51¢

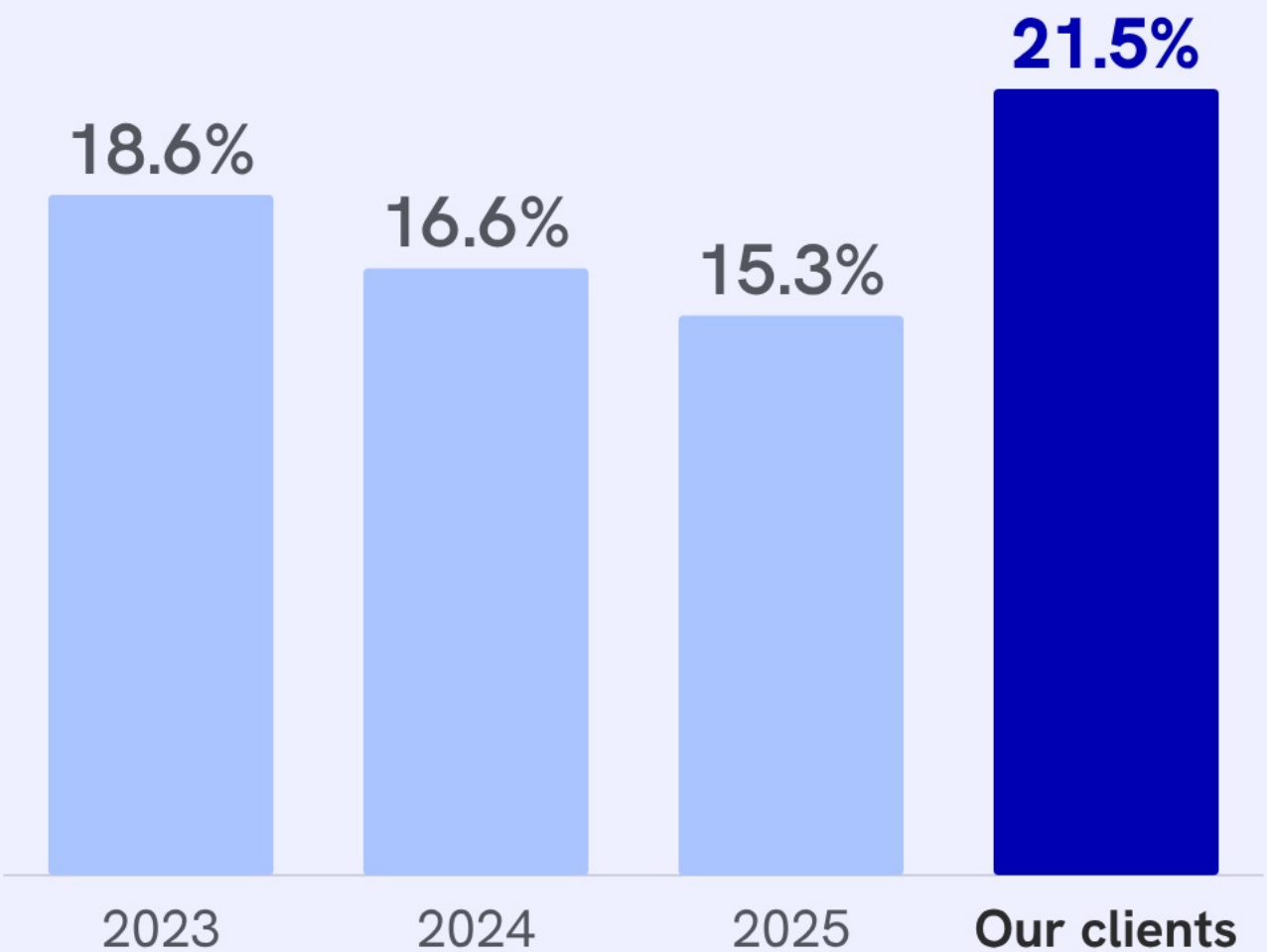
51¢

of every revenue dollar went to people

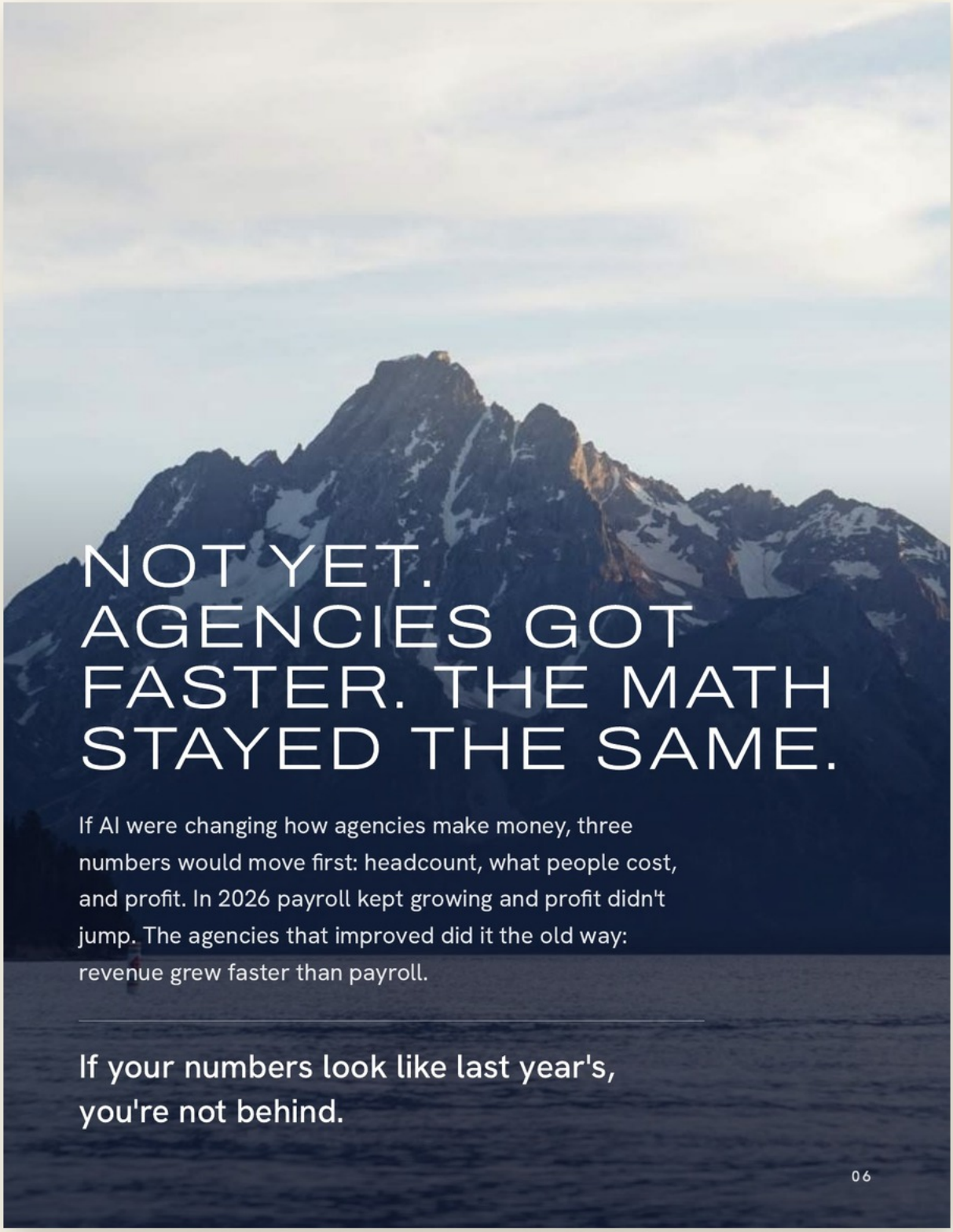
Down from 54¢

WE GOT YOUR BOOKS

Average profit slipped. Ours rose to 21.5%.



WE GOT
YOUR BOOKS



NOT YET. AGENCIES GOT FASTER. THE MATH STAYED THE SAME.

If AI were changing how agencies make money, three numbers would move first: headcount, what people cost, and profit. In 2026 payroll kept growing and profit didn't jump. The agencies that improved did it the old way: revenue grew faster than payroll.

If your numbers look like last year's, you're not behind.

THE 2026 STATE OF AGENCY FINANCES



WE GOT
YOUR BOOKS